

LECTURE NO 9

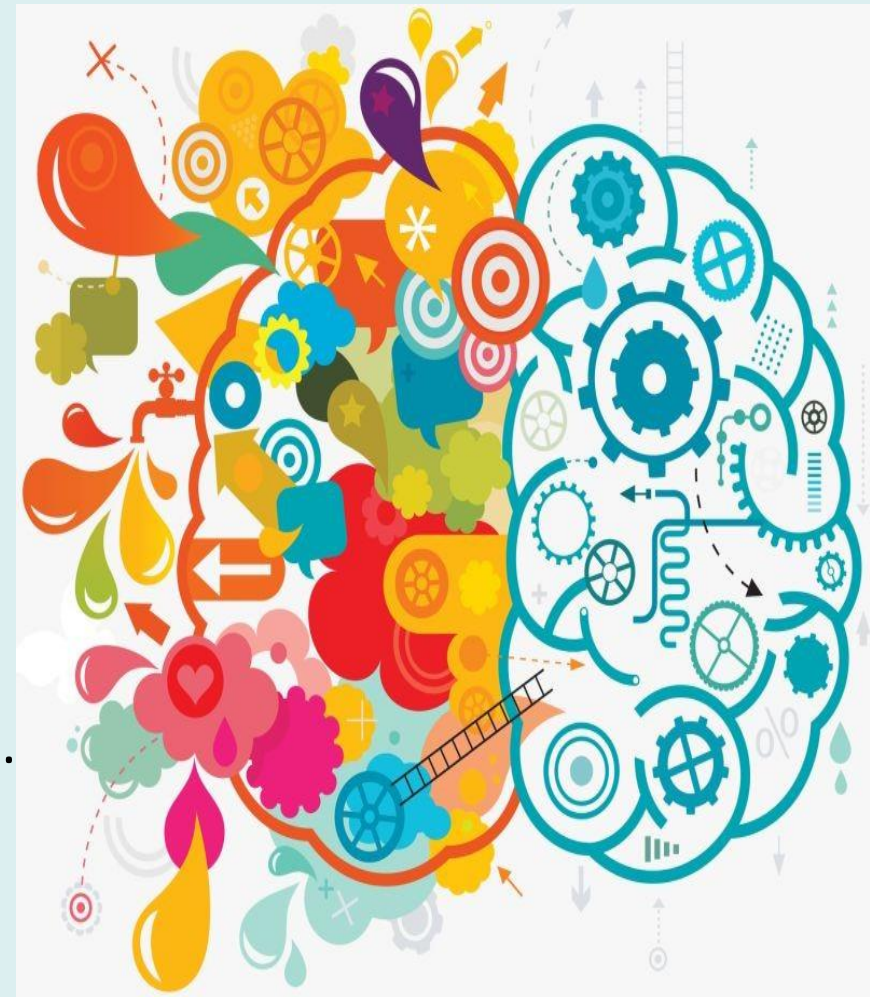
HS-403: Management and Entrepreneurship

Engr. Tehseen Ahsan
Assistant Professor, Computer
Engineering Department
HITEC University Taxila Cantt, Pakistan

Entrepreneurship: Creativity and Innovation

What is Creativity?

- **Creativity is the process of:**
 - Thinking new things.
 - Discover new ways of looking at problems and opportunities.
 - Identifying the difficult.
 - Searching for solutions.
 - Making guesses.
 - Formulating hypotheses and possibly modifying the idea and retesting them.
 - Finally communicating the results.



Three Components of Creativity

1. Creative Thinking Skills

- Creativity in business is embodied in creative thinking, where entrepreneurs use their logic and reasoning, combined with the force of their imagination, to come up with solutions to already identified problems and challenges.

2. Expertise

- An entrepreneur just came up with an idea; now, in order to make that idea bear fruit, he must use what he knows in order to make it happen.
- Formal education, technical know-how, trainings, work experience is necessary for an aspiring entrepreneur to carry forward his idea well.

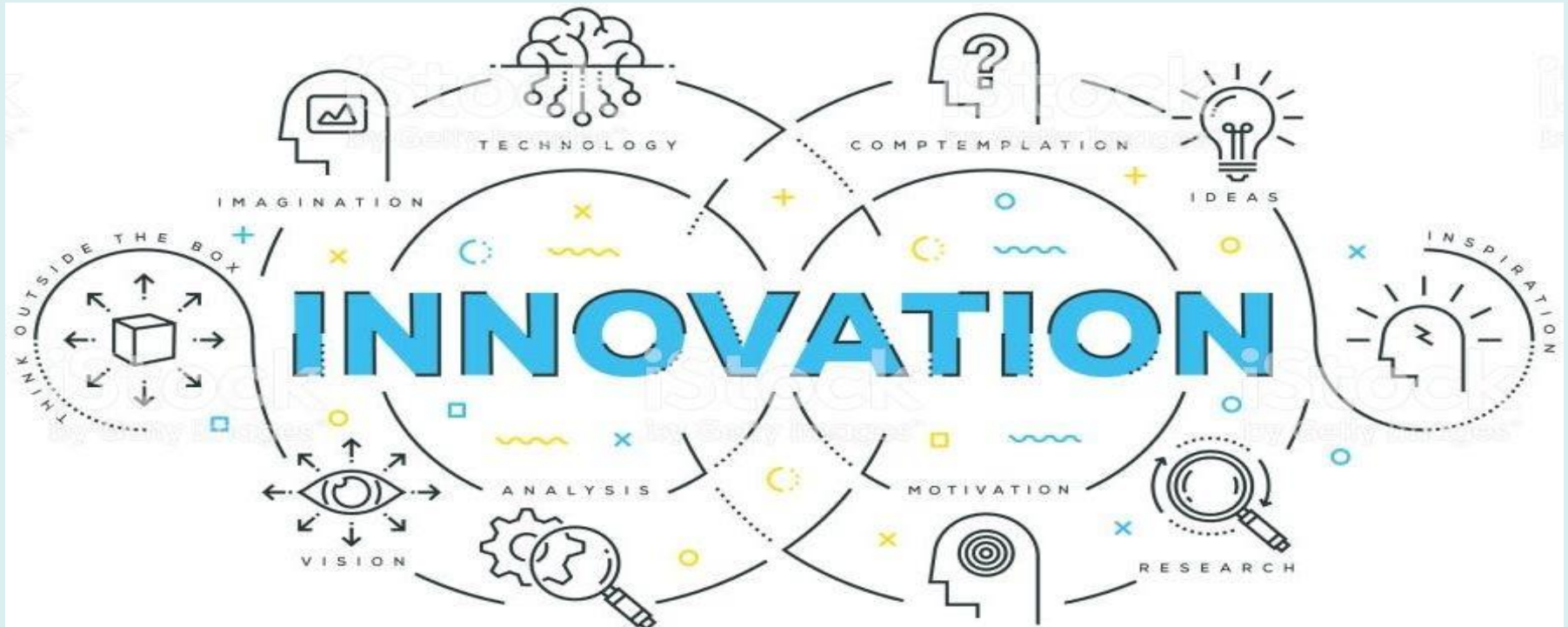
3. Motivation

- You have the brilliant idea, and you have the resources to get it started. Now you have to want to make it happen. This component of creativity is called motivation.
- Entrepreneur should have the desire and thirst for the work they are going to do.

Creativity and Entrepreneurship

- True entrepreneurs are often described as possessing a “mix of creativity and irrationality”.
- They are **creative** in the sense that they have clear visions of what they want in the future, and they have the abilities to achieve what they have envisioned, but they are also somewhat **irrational**, in the sense that they are willing to take risks and face uncertainties.
- Even when others are going in one direction, they are willing to go against the tide, stubbornly taking another route, in the belief that, by following that route, they can obtain that vision.

What is Innovation?



- Innovation is the implementation of new ideas at the individual, group or organizational level.
- A process of intentional change made to create value by meeting opportunity and seeking advantage.

Key Elements of Innovation

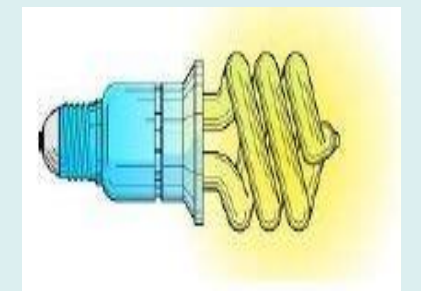
Innovation boasts several key elements, which are also known as the 9 Cs. They include:

1. **Challenge.**
2. **Customer focus.**
3. **Communication.**
4. **Collaboration.**
5. **Completion.**
6. **Culture.**
7. **Contemplation.**
8. **Context and, of course.**
9. **Creativity.**



Four Types of Innovation

1. **Invention** – described as the creation of a new product, service or process.
2. **Extension** – the expansion of a product, service or process.
3. **Duplication** – defined as replication of an already existing product, service or process.
4. **Synthesis** – the combination of existing concepts and factors into a new formulation.



Different Forms of Innovation

1. Innovation in Goods, Products, or Services

- Creative entrepreneurs are always thinking up of new goods, products or services that are so innovative they have the ability to create or open up new markets. This is probably the most popular and common form of innovation.
- ***For Example,*** Ford Motor Company continuously introduced something new to make a modern automobile, introducing new capabilities, and improved parts. This is the innovation.

2. Innovation in Business Processes

- These include technical and operational processes used in the manufacture of a product or provision of a service.
- ***For example,*** the creative entrepreneur can think of new processes, methods or technologies to reduce production costs, increase demand for the product, or even the overall productivity of the company.
- Ford Motors' introduces efficient manufacturing methods results in lower costs and offering automobiles at lower prices targeting the middle class, and eventually increased Ford Motors' market share and profitability. 9

Different Forms of Innovation

3. Innovation in the Organizational Structure

- This refers mostly to the management, administrative and ministerial side of things.
- It could be that the entrepreneur thinks of new ways or techniques in how to make the most of its human resources or people.

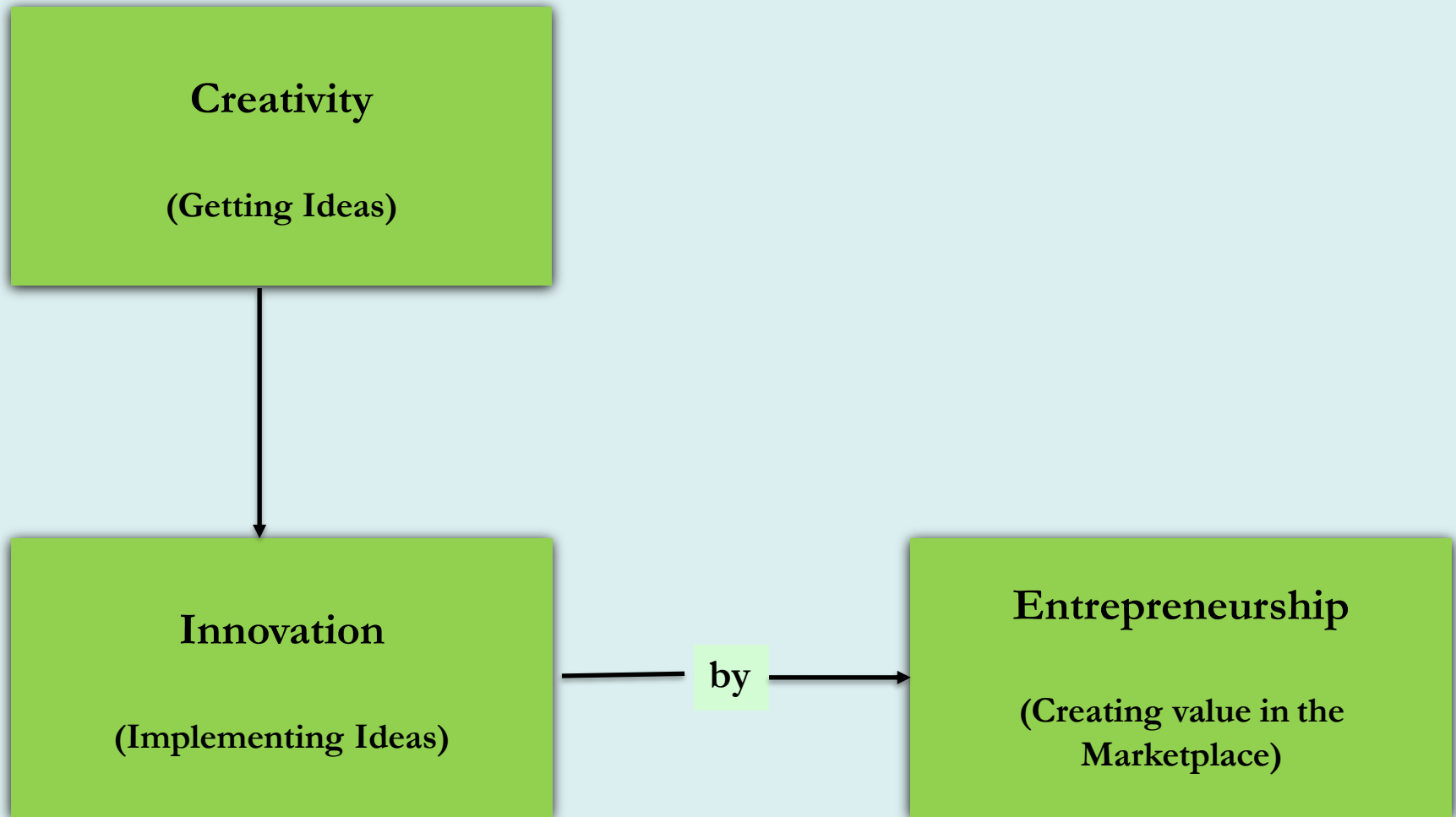
Creativity and Innovation in Entrepreneurship

CREATIVITY + INNOVATION = ENTREPRENEURSHIP

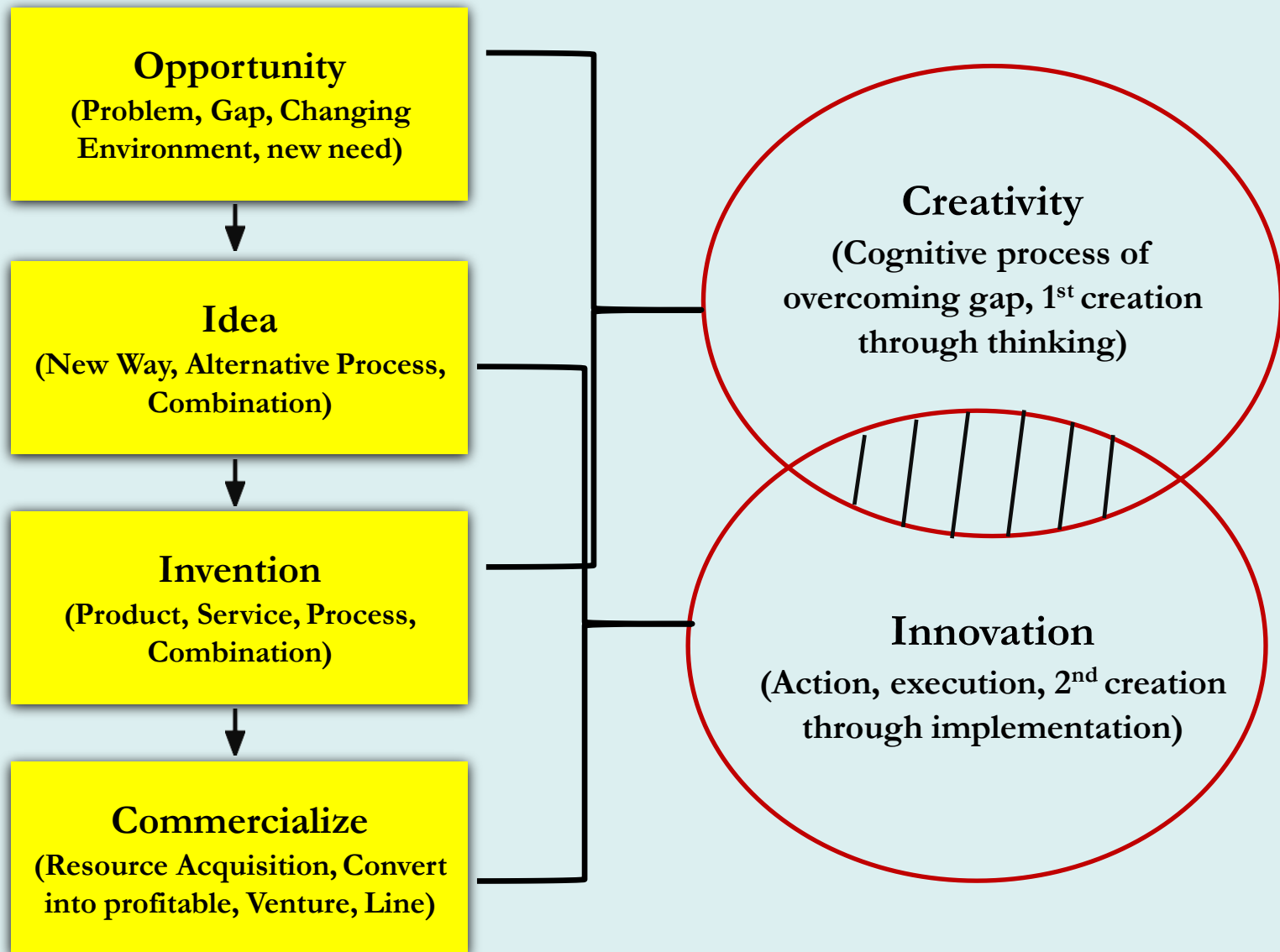
- Creativity, in general, is a precursor/predecessor to innovation, and Entrepreneurship has always been about innovation.
- The combination of creativity and an entrepreneurial spirit in an entrepreneur will inevitably end up into innovation in business and value-creation.
- It goes without saying that creativity is already inherent among entrepreneurs. This entrepreneurial creativity is what sets them apart from your usual traditional businessman or typical investor.

The creative entrepreneur is regarded as the most ideal innovator, considering one of his personality traits of being flexible when it comes to change. In order to practice innovation, knowing when a change is emerging and actually seeking it, and subsequently knowing how to respond to change, puts him in the best position to come up with innovative ideas.

Creativity and Innovation in Entrepreneurship



Creativity and Innovation in Entrepreneurship



Creativity and Innovation in Entrepreneurship

- Entrepreneur while being creative and innovative can:
 - **Introduce new goods.**
 - **Introduce new services.**
 - **Introduce new methods of production.**
 - **Open new markets.**
 - **Open new sources of supply.**
 - **Re-organize industry.**

Barriers to Creativity and Innovation

**Searching for the
one “right” answer**

**Focusing on being
logical**

**Blindly following
the rules**

**Constantly being
practical**

**Becoming overly
specialized**

Avoiding ambiguity

**Fearing looking
foolish**

**Fearing mistakes
and failure**

**Believing that ‘I am
not creative’**

Home Assignment to Find Out How Entrepreneurial You Are

This self-assessment exercise will help you identify which entrepreneurial characteristics you possess. It is not a rigorous scientific assessment, but simply an indication of your current entrepreneurial development. Be honest while answering questions. Everyone can learn to be more entrepreneurial, so keep that in mind when calculate your score.

Home Assignment to Find Out How Entrepreneurial You Are

S. No.	Questions	Not Yet	Sometimes	Most of the Time	Always
1	I am passionate about my goals.				
2	I have a spirit to do new adventures.				
3	I have a strong need to achieve.				
4	I am self confident and self reliant				
5	I am goal oriented				

Home Assignment to Find Out How Entrepreneurial You Are

S. No.	Questions	Not Yet	Sometimes	Most of the Time	Always
6	I am innovative and creative.				
7	I am persistent, I don't give up easily.				
8	I am hardworking and energetic.				
9	I am a positive thinker.				
10	I am willing to take initiative.				
	Total				
	Total Score				

Home Assignment to Find Out How Entrepreneurial You Are

Not Yet	0.5 mark
Sometimes	1 mark
Most of the Times	2 marks
Always	3 marks

- Then add your column subtotals together for a total score.

Home Assignment to Find Out How Entrepreneurial You Are

SCORING

- If you scored **31-40**: It seems you are a very entrepreneurial person, primed to take on the challenges and opportunities the new economy presents. If you have not already considered setting up shop or developing innovative projects, it may be time to give it some serious thought.

Home Assignment to Find Out How Entrepreneurial You Are

SCORING

- If you scored **21-30**: You have a general entrepreneurial approach to work and life and your characteristics make you well suited to a career as an entrepreneur. Take your first entrepreneurial steps slowly and consider trying some freelancing or some contract work in your field before launching the business of your dreams.

Home Assignment to Find Out How Entrepreneurial You Are

- If you scored **11-20**: You may be more entrepreneurial than you think, but you still have your work cut out for you. Anyone can adopt entrepreneurial ways of thinking, just follow your passions, determine your life path and make an attempt at creating the future you dream of.

Home Assignment to Find Out How Entrepreneurial You Are

SCORING

- If you scored **0-10**: Believe it or not, you can become more entrepreneurial. And in today's economy, it is essential that you do so. You can start building your entrepreneurial skills by volunteering in your community, taking some business courses or doing informational interviews with entrepreneurs you admire.

Home Assignment to Find Out How Entrepreneurial You Are

**Bottom line is we know creativity
and innovation is important for
entrepreneurs and managers...
So be creative and go innovate!**

References

- ❑ Based in part on materials by *Ms. Samar Masood* (Lecturer, Department of Management Science in HITEC University Taxila Cantt).